operator, handling 25 per cent of the passenger traffic and 40 per cent of air cargo; the largest ports and logistics operator, with a 30 per cent market share; the largest integrated energy company; the second largest cement manufacturer and the largest edible oils manufacturer.

FUNDAMENTALLY STRONG

If at all the Adani imbroglio had an impact on the markets, experts believe it was in the short term. Market players outline three factors drive the stock market—flows (inflow and outflow of funds), sentiments and fundamentals. While the first two have a short-term impact on the market, the fundamentals have long-term implications. "While the Adani Group is into critical infrastructure, their contribution is not even one per cent in a $3.5 trillion economy," says a source. Similarly, the Rs 17,000 crore profits of Adani companies are a small percentage of the around Rs 10 lakh crore in overall profits of Indian corporates, the source adds. As for sentiments, investors have survived the Adani shock because many had factored in the risks of investing in Adani stocks. Sources in the mutual funds industry say that they have no investments in Adani shares since local investors did not want to risk putting their money into the company's stocks.

Meanwhile, the Indian economy's fundamentals remain strong, which reflects in the largely positive stock indices. Rumki Majumdar, director and macroeconomist, Deloitte India, says private sector balance sheets have improved over the past couple of years, implying that it is poised to increase spending, which can boost capital expenditure as and when the investment cycle picks up. "High goods and services tax (GST) and direct tax collections have provided the government ammunition to spend and cushion the impact of the impending global slowdown and keep the economy buoyant," she noted in Deloitte's "India economic outlook" report in January. Consumer demand among the affluent class remains strong as is evident from the robust growth in the retail industry and the better profit performance of consumer staples and discretionary companies in recent quarters. Under challenges, she lists inflation, the possibility of a global slowdown as central banks raise interest rates, and the need to improve the labour market.

WHY MARKETS HAVE HELD FIRM

1. Investors see the Adani crisis as something that affects the group alone, without any ramification for the larger corporate world
2. Macroeconomic fundamentals of the country remain strong. India's growth rate, estimated at 7 per cent for FY23, is seen as better than that of most large countries
3. Low weightage of the Adani stocks on the overall indices. The market capitalisation of the nine listed Adani Group firms is less than 1 per cent of the m-cap of benchmark indices
4. High promoter holding (close to 75 per cent) in some Adani Group companies translates to low retail shareholding, and thus lower impact on investors at large
5. Many investors had already factored in the risks of investing in Adani stocks and stayed away from the more risky ones with high promoter holding

WHAT LIES AHEAD

How sustainable is this resilience of the stock markets? Although they seem to have survived the immediate crisis brought on by the Adani episode, the markets are likely to witness considerable volatility in the coming weeks and months. "For the next 12 to 18 months, the stock market will be volatile," says Nilesh Shah, MD, Kotak Mahindra Asset Management Co. Fears around further rate hikes by the Federal Reserve, the US central bank, India's general election in May 2024, the reopening of China post-Covid and the geopolitical uncertainties around the Ukraine war will have a material impact on the stock market, he adds. If there is no escalation in the Ukraine war, or if there is a stable government in India in 2024, the markets will remain positive. "The stock market is supported by the positive sentiment around India's growth story," Shah adds. Kejriwal backs the argument. "If we are where we are despite the Adani episode, it shows the inherent strength of our market. The strength is coming from mutual fund inflows through SIPs (systematic investment plans) and investors' contributions to mutual funds is at their highest. Month after month, we see huge inflows and whatever foreigners sell is lapped up by domestic institutions," he says. Another positive is that although the RBI has hiked interest rates multiple times in the past year, they have still been only half of what the US has done.

A buoyant stock market is increasingly being showcased as a measure of a robust economy. Indian markets have shown they can survive the biggest of crises. That should make them attractive in a world riddled with uncertainty. But there is no room for complacency, as investors will hold the economy's fundamentals to sharp scrutiny in the days ahead. ■